

Amazon.com, Inc.
AMZN NASDAQ

Buy \$277.62 ▼ 2.25% 12M Price Target \$320.00 52-Week Range \$196.00 – \$281.07 Market Cap \$2.99T

AMZN: AI Hyperscaler Beat Fuels Breakout, NJ Lawsuit Noise

WHAT HAPPENED

- Amazon ripped 25%+ over four days (from \$226 to \$284) after crushing earnings alongside Meta and Microsoft — the AI hyperscaler trade is officially back on. Translation: the market was worried AWS growth was slowing, and instead it accelerated. That's a huge relief rally.
- Today's -2.25% pullback is just profit-taking after a monster run, plus the New Jersey AG suing Amazon over driver pay/conditions added a headline hit. The stock is still sitting at 96% of its 52-week range — this is a breakout, not a breakdown.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The Trump administration's AI infrastructure push — including the executive order streamlining permitting for data centers and the ongoing CHIPS Act reallocation debate — is a direct tailwind for AWS, which is the biggest AI infrastructure buyer on the planet. Watch the FTC too: the Khan-era antitrust case against Amazon is still working through courts, but the current administration is expected to be less aggressive, which removes an overhang. The wildcard is tariffs — Amazon's retail arm sources heavily from China, and any renewed tariff escalation would pressure margins on the e-commerce side even as AWS thrives.

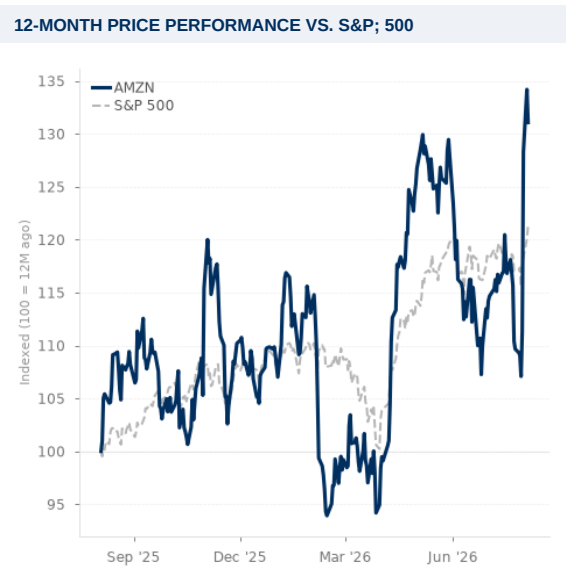
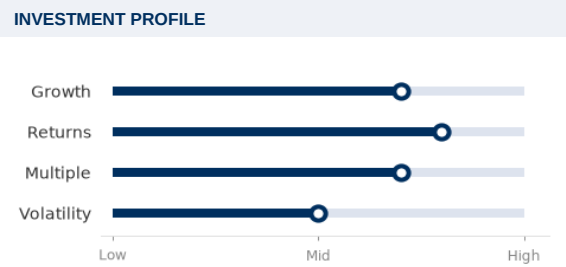
IS IT EXPENSIVE?

At ~\$278 and roughly 40x forward earnings — meaning you're paying \$40 for every \$1 of profit expected next year — Amazon isn't cheap, but it's actually reasonable versus Microsoft (~35x) and cheaper than pure-play AI names trading at 50x+. The justification: AWS is growing 20%+ with expanding margins, retail is finally profitable, and advertising is a hidden \$60B+ business growing 20%. You're paying a premium, but for three growth engines running simultaneously.

WHAT COULD GO WRONG

- AWS growth deceleration — if next quarter shows cloud growth slowing back to the high teens, this whole rally unwinds fast because the AI thesis is priced in now.
- Tariff escalation on China imports could squeeze retail margins right when investors expect the e-commerce segment to expand profitability.

Key Data	
Price (USD)	\$277.62
12M Price Target	\$320.00
Upside / (Downside)	+15.3%
Market Cap	\$2.99T
FY2026E Revenue	\$715M
FY2027E Revenue	\$795M
FY2026E EPS	\$6.80
FY2027E EPS	\$8.20
Fwd P/E	40.8x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$300.00	\$285.00	\$260.00
6 Months	\$330.00	\$305.00	\$250.00
1 Year	\$360.00	\$320.00	\$240.00
2 Years	\$420.00	\$370.00	\$230.00
5 Years	\$600.00	\$480.00	\$280.00
10 Years	\$900.00	\$700.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+3.6% today, +7.8% for the week) is on fire because the hyperscaler earnings validated the AI capex cycle — money is flowing back into mega-cap tech aggressively.

COOLING OFF: Consumer Discretionary (-0.35% today) is lagging despite Amazon being technically in that bucket — the market is treating AMZN as a tech/AI stock now, not a retailer. Materials also weak on China demand concerns.

ROTATION WATCH: Money is rotating out of defensive sectors and financials into AI infrastructure plays. This is a "risk-on" tape driven by strong earnings, and it typically has legs for weeks, not days.

RELATED PLAY: The picks-and-shovels trade — if AWS is spending big on AI infrastructure, the beneficiaries are chip suppliers (NVDA, AMD), data center REITs (EQIX, DLR), and power infrastructure names.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Up 25% in three days on Azure AI acceleration — same tailwind as AMZN but with a longer enterprise moat.
- META (Meta): Ripping on ad revenue AND AI infrastructure story — proving AI capex is monetizing across use cases.

AMZN CONTEXT: Amazon is running with the pack, not leading it — MSFT's 25% three-day rally outpaced AMZN's ~22% move. That's actually bullish because it means AMZN has room to catch up if the AI trade keeps working, and its multiple is still the cheapest of the mega-cap hyperscalers.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Three growth engines firing (AWS, ads, retail margins) with policy tailwinds and reasonable valuation for the growth profile. Not a table-pound because it's already had a huge run.

POSITION SIZE: 5-7% of a diversified portfolio — this is a core holding, not a speculative bet, but I wouldn't chase it above \$285 with size.

ENTRY POINTS: Wait for pullbacks to \$265-272 (the pre-breakout consolidation zone). If it holds there, that's your add. Chasing \$284+ right after a 25% rip is bad risk/reward.

TIME HORIZON: 12-24 months minimum. The catalyst to wait for is confirmation that AWS AI revenue keeps compounding — that's what re-rates the stock higher.

WHEN TO BAIL: AWS growth below 15% YoY, a major antitrust breakup order, or if Andy Jassy leaves. Any of those and the story changes.

HEDGING: Given the run, consider buying downside protection — puts about 10% below current price expiring in 3-6 months. Think of it as insurance: costs a bit, but protects you if the AI trade suddenly reverses on a bad macro print.